



Republic of the Philippines
CAGAYAN STATE UNIVERSITY
College of Business, Entrepreneurship and Accountancy
Andrews Campus - Caritan, Tuguegarao City, Cagayan
FINANCIAL ACCOUNTING AND REPORTING
1st Semester, A.Y. 2021-2022
Midterm Examination



Notes and Instructions.

This is a 2-hour examination.

All answers must be written in good form with complete solutions. Unclear answer will be immediately considered wrong. Erasures should be minimized.

Cheating will not be tolerated. If you are caught cheating, you will no longer allowed to continue the exam and you will be immediately marked zero.

Test I. MULTIPLE CHOICE

1. Rizal Traders provided the following data for the year ended December 31, 2021. Operating Expenses, excluding finance cost, is 10% of Net sales and 12.5% of cost of sales. Finance cost is 5% of Net sales. Net profit for the year amounted to P125,000. How much is the Net Sales?
 - a. 781,250
 - b. 735,294
 - c. 833,333
 - d. 2,500,000
2. This contains the vital information about the nature and amount of the transactions.
 - a. Sales Invoice
 - b. Bill of lading
 - c. Source Documents
 - d. Official Receipt
3. A document issued by the carrier that specifies contractual conditions and terms of delivery such as freight terms, time, place, and the person named to receive the goods.
 - a. Sales Invoice
 - b. Bill of lading
 - c. Source Documents
 - d. Official Receipt
4. A written order to a bank by a depositor to pay the amount specified therein from his account to the.
 - a. Deposits Slips
 - b. Purchase Requisition
 - c. Credit Memorandum
 - d. Check
5. The following information were gathered from the records of Rivera Merchandising. Invoice Price P100,000 Discount terms 2/10, n/30, List Price P150,000. Compute for the amount due within discount period?
 - a. 100,000
 - b. 147,000
 - c. 98,000
 - d. 144,0608

6. The following information were gathered from the records of Quirequie Merchandising. Discount terms 2/10, n/30, List Price P150,000, Trade discount 20% and 10%. Compute for the amount due within discount period?
- 100,000
 - 108,000
 - 105,000
 - 105,840
7. Which of the following is correct? Freight terms; Who shoulders the transportation? Who pays the shipper?
- FOB Destination, Freight Prepaid- Seller Buyer
 - FOB Shipping point, Freight Collect- Buyer Seller
 - FOB Destination, Freight Collect- Seller Buyer
 - FOB Shipping point, Freight Prepaid- Buyer Buyer
8. Assume that Melqui Traders sold merchandise on account totaling P20,000 FOB Shipping point, freight collect; terms 2/10, n/30. The transportation cost amounted to P2,000. The entry to record the initial transaction would include:
- Dr. Accounts Receivable P21,600
 - Cr. Sales P19,600
 - Dr. Accounts Receivable P22,000
 - Cr. Sales P20,000
9. A merchandiser will earn an operating income of exactly zero when:
- Cost of goods sold equals gross margin
 - Gross margin equals operating expenses
 - Net sales equals cost of goods sold
 - Operating expenses equal net sales
10. Gross margin equals the difference between net sales and:
- Cost of goods sold.
 - Cost of goods sold plus operating expenses.
 - Operating expenses.
 - Sales minus operating expenses inclusive of finance costs
11. Under perpetual inventory system, which of the following account should not be used?
- Cost of goods sold
 - Merchandise Inventory
 - Purchases
 - Sales

For items 12-16, use the following problem to answer the following requirement:

Sales 750,000, Sales Returns and Allowances 15,000, Sales Discounts 10,000, Purchases 170,000, Purchase returns and allowances 20,000, Transportation-FOB shipping point, freight collect 30,000, Selling Expenses 75,000, General and Administrative Expenses 275,000. In addition, beginning merchandise inventory was P55,000 and ending merchandise inventory was P35,000.

12. Net sales for the period were
- P755,000
 - P725,000
 - P735,000
 - P775,000
13. Net purchases for the period were:
- P150,000

- b. P180,000
 - c. P210,000
 - d. P430,000
14. Cost of goods sold for the period was
- a. P235,000
 - b. P160,000
 - c. P200,000
 - d. P170,000
15. Profit for the period was
- a. P525,000
 - b. P450,000
 - c. P250,000
 - d. P175,000
16. If the beginning and ending merchandise inventories were ignored in computing profit, then profit would be
- a. Overstated by P20,000
 - b. Understated by P55,000
 - c. Understated by P35,000
 - d. Understated by P20,000
17. When a seller of merchandise allowed a customer a reduction from the original price for defective goods, the seller will issue to the customer a:
- a. Credit memorandum
 - b. Debit memorandum
 - c. Official receipt
 - d. Sales invoice
18. Discount given for prompt payment.
- a. Trade discount
 - b. Net discounts
 - c. Tax discounts
 - d. Cash discounts
19. This encourages the buyers to purchase products because of mark-down from the list price.
- a. Cash discounts
 - b. Trade discounts
 - c. Discounted Value
 - d. Account discount
20. Income derived from sources other than company's main line of business. Which is not?
- a. Interest Income
 - b. Dividend Income
 - c. Sales
 - d. Commissions Income

PROBLEM SOLVING:

Mr. Chris P. Bacon organized Just Pics Photographs, a photography and portrait studio, on October 1, 2019. The studio completed the following transactions during the month:

Oct. 1 Deposited P350,000 in a bank account in the name of the business.

2 Acquired additional funds from Rob-a-Bank and issued a promissory note that will mature in 12 months bearing an annual interest rate of 8%, P225,000.

5 Planning to order photography equipment to be used for the business, P75,000.

8 Purchased office equipment for cash, P54,000.

10 Ordered, received, and paid for the photography equipment P75,000.

12 Purchased photography supplies on credit, P21,000.

13 Received cash from customers for portraits, P11,400.

17 Billed customers for portraits, P22,500.

19 Paid fifty percent of the supplies purchased on Oct. 12.

25 Paid the electricity bill for October, P3,600.

26 Paid the telephone bill for October, P2,100.

28 Received payments from the customers billed on Oct. 17, P7,500.

29 Paid salaries to personnel, P12,000.

30 Received an advance payment from a customer, P1,500.

31 Withdrew P16,000 from the business for a personal emergency.

Additional information for the preparation of Adjusting Entries:

1. The principal amount and interest on the note payable will be paid on maturity date.
2. The photography equipment is estimated to have an estimated useful life of 2 years. It is the policy of the entity to charge a full-month depreciation to its assets on the month of acquisition.
3. The office equipment was estimated to be used in service for 3 years and can be sold for P9,000 thereafter.
4. After a thorough inventory count, the supplies on hand was valued at P6,000 during month end.
5. In the afternoon of October 31, portraits were delivered to the customer who paid in advance last October 30.

Use the following account titles:

Cash; Accounts Receivable; Supplies; Office Equipment; Accumulated Depreciation-Office Equipment; Photography Equipment; Accumulated Depreciation- Photography Equipment; Accounts Payable; Unearned Service Revenue; Interest Payable; Notes Payable; Bacon,Capital; Bacon,Withdrawals; Service Revenue; Depreciation Expense; Utilities Expense; Telecommunication Expense; Supplies Expense; Interest Expense; Salaries Expense

Requirements:

- 1) Analyze and record each business transaction to the general journal. (brief description is no longer required)
- 2) Post the journal entries using T-accounts.
- 3) Prepare an Unadjusted trial balance.
- 4) Analyze the adjustments, prepare adjusting entries and make an Adjusted trial balance.

The following are the transactions of Sunrise Trading during the month of December, 2017.

2017

July 1 Rose Lee began a general merchandising business by investing 300,000 cash.
2 Purchased store equipment from Sampaguita Commercial, P 40,000, term: 1/10, n/30.
3 Paid rent for the store space, P 10,000.
6 Purchased merchandise from Rose Trading, P 52,300, term: 1/15, n/30.
7 Purchased merchandise for cash, P 80,000
9 Received a credit memo for P 2,300 for defective merchandise returned to Rose Trading
9 Sold merchandise to Gold Co., P 15,000. Term 2/10, n/30
10 Sold merchandise to Silver Co. P 25,000. Term 2/10, n/30
11 Issued credit memo to Silver Co. for defective merchandise returned, P 5,000
16 Paid Sampaguita Commercial in full.
17 Collected the account of Gold Co. in full.
17 Sold merchandise to Diamond, P 40,000, Term: 2/10, n/30
19 Purchased office supplies, P 3,000, and store supplies, P 4,000 from Sunflower Enterprises
19 Paid Rose Trading in full.
20 Purchased Store Furniture from Sampaguita Commercial, P 21,000
20 Collected the account of Silver Co. in full.
24 Received a credit memo for P 1,000 from Sampaguita Commercial for damage in the paint of the Store Furniture
25 Cash sales, 100,000
27 Purchased merchandise from Rose Trading, P 80,000, Term: 1/15, n/30.
30 Sold merchandise to Gold Co., P 50,000. Term: 2/10, n/30
30 Received 20,000 from Diamond as partial payment of her account
31 Paid the salaries of employees for the month, P 20,000
31 Paid utilities expense, P 3,000

Record the following transactions to the journal. Solve for the 1.) Sales, 2.) Cost of Goods Sold, and 3.) Gross Profit at the end of the month.

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“You shouldn't gloat about anything you've done; you ought to keep going and find something better to do.” - David Packard.

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